

PERSONAL CONNECTION: DELAYING GRATIFICATION

I want a house so badly. I look at houses for sale on an app before I go to sleep every night. It is something I have always dreamed of and I am unbelievably close to accomplishing this goal. It has taken all of my financial willpower to hold off buying my home before I am completely ready.

The reason I do not have a home already is because I refuse to be house poor. I have friends who purchased a home when they were not financially ready, and they are devoting up to 70% of their take-home pay to their mortgage. Even though I am obsessed with owning a home at this point, it isn't worth it if I have to lock myself into a 30-year deal that is going to leave me unable to save for retirement, invest, or even spend money on things I enjoy.

I am also not overly eager to buy a house because I currently have a solid housing-to-income ratio. My rent is low enough for me to save a substantial amount of money every month, which will eventually be used as a down payment. Within the next year or two I will be able to buy a home with a 15-year mortgage and a monthly payment that will be more than manageable.

The way I see it is that I have delayed owning a home for a while, but my disciplined saving and spending during that time is going to save me thousands of dollars in interest (maybe hundreds of thousands) and allow me to pay my home off in 15 years instead of 30.

When the time comes for you to make your big purchases, I hope you can practice the same discipline and understand that delaying your gratification a bit now can make your life much easier and more enjoyable in the future.